DAY TRADING STRATEGIES AND INTRO TO OPTIONS TRADING

STOCKCHARTSACADEMY

Before you begin

Important note on risk

Options are contracts with time limits. They can be useful tools for expressing a market view or managing risk, but they can also lose value quickly. This book is for education, not individualized investment, tax, legal, or trading advice. It does not recommend any security or strategy.

Risk comes first

A long option can lose its entire premium. Some short-option positions can create assignment obligations and losses that may be very large. Start with defined-risk positions, use a broker’s education and approval process, and trade only capital you can afford to put at risk.

In the United States, most listed equity options represent 100 shares, but exceptions exist. Contract terms, fees, taxation, exercise procedures, and broker rules vary. Before trading, read the disclosure documents your broker provides and confirm the exact contract details in the option chain.

How to use this book

Read the first four chapters in order. They establish the vocabulary that makes an option chain readable. The later chapters translate that vocabulary into simple decision rules, examples, and a practice routine. Do not treat the sample numbers as predictions; they are deliberately simplified so the mechanics stay visible.

A helpful mindset

An option is not a lottery ticket and it is not a stock substitute. It is a contract whose value depends on price, time, and uncertainty. Good beginners focus on understanding the contract before trying to forecast the market.

Contents

Your path through the basics

One idea to carry throughout

Every options position has trade-offs. A lower premium may mean less probability of profit. More time may cost more. A large move may still fail to help if it happens too late. The question is not "Will this make money?" but "What exactly must happen-and by when-for this contract to work?"

Option value approximately intrinsic value + time value

The approximation above is a foundation, not a complete pricing model. Interest rates, dividends, volatility expectations, and market supply and demand also affect an option’s price.

Chapter 1

What an option is

An option is a contract. It gives its buyer a right, but not an obligation, involving an underlying asset at a stated price before or on a stated date. The person who sells the option takes on the corresponding obligation if the buyer exercises and the contract is assigned.

For most stock options, one standard contract represents 100 shares of the underlying stock or exchange-traded fund. That multiplier is why option prices are quoted per share but paid per contract.

Underlying

Plain-English meaning: The stock, ETF, index, or other instrument the option refers to.

Strike price

Plain-English meaning: The agreed price at which shares may be bought or sold if the option is exercised.

Expiration

Plain-English meaning: The last date the contract is valid under its terms.

Premium

Plain-English meaning: The option's market price. Buyers pay it; sellers receive it.

Contract multiplier

Plain-English meaning: Usually 100 shares for standard U.S. equity options; always verify.

Premium math

If an option's displayed premium is $2.40, one standard 100-share contract costs $240, before commissions and fees. The quote is not the total contract price; multiply it by the contract multiplier.

Why people use options

Investors may use options to seek defined exposure to a price move, generate income under particular conditions, or hedge an existing position. Each purpose involves a different risk profile. Options can be precise, but precision is not the same as safety.

First principle: know the maximum possible loss before you submit an order.

Chapter 2

Calls and puts

There are two basic option types: calls and puts. The buyer's right determines the seller's obligation.

Call option

A call buyer has the right to buy the underlying at the strike price. Calls generally gain value when the underlying rises, all else equal.

Buyer pays a premium. Call seller may be obligated to sell shares at the strike if assigned.

Put option

A put buyer has the right to sell the underlying at the strike price. Puts generally gain value when the underlying falls, all else equal.

Buyer pays a premium. Put seller may be obligated to buy shares at the strike if assigned.

Buyer and seller are not mirror images

Buy call / buy put

Up-front cash flow: Pay premium Basic obligation: Choice to exercise or sell the contract High-level risk shape: Maximum loss is generally the premium paid.

Sell call / sell put

Up-front cash flow: Receive premium Basic obligation: May be assigned if the holder exercises High-level risk shape: Risk depends strongly on whether the position is covered or defined-risk.

A frequent beginner error is to say "a call is bullish" without identifying who owns it. A long call commonly benefits from an upward move; a short call commonly benefits when the contract loses value. Name both the option type and whether you bought or sold it.

Exercise is not the only exit

Many traders close an option position by selling an option they bought or buying back an option they sold. Exercise and assignment are contract outcomes to understand, not a requirement for every trade.

Chapter 3

The option contract: five facts to check

Before you can assess a trade, identify the exact contract. A one-digit change in strike, or a different expiration, creates a different instrument.

1 - Underlying

What stock, ETF, or index is this contract tied to? Check the symbol and current underlying price.

2 - Type

Is it a call (right to buy) or a put (right to sell)?

3 - Strike

At what price may the underlying be bought or sold under the contract?

4 - Expiration

How much time remains? Confirm the exact date and any special settlement rules.

5 - Multiplier

How many shares or units does one contract represent? Do not assume-verify.

In, at, and out of the money

"Moneyness" compares the underlying price with the strike price. It says nothing by itself about whether the trade will be profitable after the premium paid.

In the money: stock above strike

For a put: In the money: stock below strike Meaning: The option has intrinsic value.

At the money: stock near strike

For a put: At the money: stock near strike Meaning: Intrinsic value is near zero.

Out of the money: stock below strike

For a put: Out of the money: stock above strike Meaning: The option has no intrinsic value.

Moneyness example

With a stock at $52, a $50 call is $2 in the money. A $55 call is $3 out of the money. The $50 call may still lose money if its purchase price was more than the value you later receive.

Chapter 4

Reading an option chain

Illustrative option chain - not live data

Calls bid/ask	Strike	Puts bid/ask
2.30 / 2.45	50	0.30 / 0.40
1.20 / 1.35	52	1.15 / 1.30
0.45 / 0.55	55	3.25 / 3.45

Focus on the bid-ask spread, strike, and expiration.

An option chain is the broker or exchange display of available strikes and expirations. Calls normally appear on one side, puts on the other, with the strike prices between them. Exact layouts differ, but the concepts are consistent.

Bid / ask

What it tells you: Highest displayed buying price and lowest displayed selling price. Why it matters: The gap is the spread; wide spreads can increase trading cost.

Last

What it tells you: Price of the most recent trade. Why it matters: It may be stale and may not be the price you can trade now.

Volume

What it tells you: Contracts traded during the current session. Why it matters: One clue to activity, but not a guarantee of easy execution.

Open interest

What it tells you: Existing open contracts, typically reported with a lag. Why it matters: Another liquidity clue; use it with bid-ask spreads.

Implied volatility

What it tells you: The volatility level embedded in the option's price. Why it matters: Helps compare how expensive uncertainty is across contracts.

Delta

What it tells you: Approximate sensitivity to a $1 underlying move, among other uses. Why it matters: Useful shorthand, not a promise.

Bid, ask, and the midpoint

Suppose a contract has a bid of $1.80 and an ask of $2.10. The midpoint is $1.95. A buyer who uses a market order could pay near the ask; a seller could receive near the bid. The $0.30 spread is meaningful because it is $30 per standard contract before fees.

Liquidity is a risk-control issue

A low premium does not make a trade inexpensive if the bid-ask spread is wide or there are few market participants. For learning, favor highly liquid underlyings and strikes with narrow, active markets. Use limit orders so you choose the worst price you will accept.

Visual examples

Broker-style option-chain views

Mobile brokerage option chain - illustrative

ORDER CHECKS

1. Expiration
2. Strike and type
3. Limit price

Option Chain

Underlying 52.18

CALLS Puts

50 C	2.30
52 C	1.20
55 C	0.45

Desktop trading terminal option chain - illustrative

CALLS	STRIKE	PUTS
Bid 2.30 Ask 2.45	50	Bid 0.30 Ask 0.40
Bid 1.20 Ask 1.35	52	Bid 1.15 Ask 1.30
Bid 0.45 Ask 0.55	55	Bid 3.25 Ask 3.45

Bid and ask, not the last price alone, show the displayed market.

Broker apps organize chains differently, but the core checks are the same: underlying price, expiration, strike, bid-ask spread, and contract type. These screens are educational mockups-not broker screenshots.

Check these four fields

Expiration, then call or put.

Bid and ask-not just the last price.

Strike and contract quantity.

Limit price before sending the order.

Chapter 5

What makes an option valuable

An option's premium contains two broad components: intrinsic value and time value. Intrinsic value is the amount an option is in the money. Time value is the remainder of the premium-what the market is paying for the possibility that circumstances change before expiration.

Call intrinsic value = max(underlying price - strike price, 0)

Put intrinsic value = max(strike price - underlying price, 0)

Breaking a premium apart

A stock trades at $108. A $100 call trades at $10.75. Its intrinsic value is $8.00. Its remaining $2.75 is time value. If the stock price stays exactly $108 as expiration approaches, that time value tends toward zero.

Break-even is a useful, limited shortcut

At expiration, a long call's simple break-even is strike price plus premium paid per share. A long put's simple break-even is strike price minus premium paid per share. This shortcut assumes you hold through expiration and ignores transaction costs. Before expiration, an option can be sold for a profit even if the underlying has not reached that number, because time and volatility also affect price.

Call purchased for premium P

Expiration break-even shortcut: Strike + P Maximum loss at expiration: P x multiplier, plus costs

Put purchased for premium P

Expiration break-even shortcut: Strike - P Maximum loss at expiration: P x multiplier, plus costs

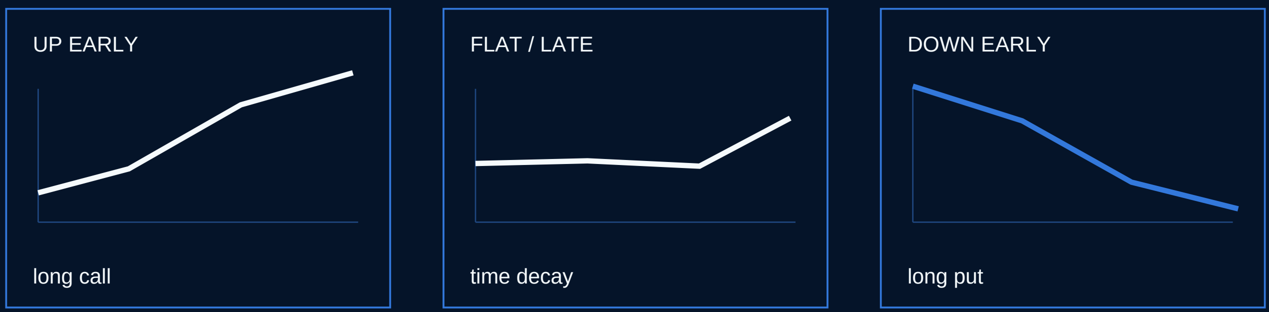
Price is not probability

Cheaper, farther-out-of-the-money contracts often need a larger move to finish with value. A small premium can still be a very demanding bet on direction and timing.

Visual examples

Three stock-chart scenarios

Three price paths from the same starting level



Options respond to the path of a move, not only its final direction. The same starting price can create very different outcomes depending on whether the underlying moves early, goes nowhere, or moves sharply against the position.

Early upward move

A long call may gain as the stock rises with time remaining.

Flat or late move

Time decay can work against a long option even if the thesis eventually becomes correct.

Early downward move

A long put may gain when a decline happens quickly enough.

The lesson

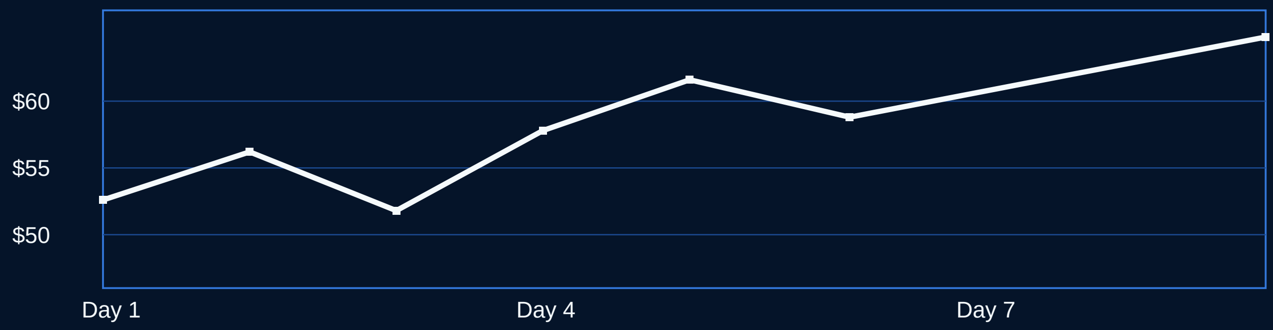
Before buying an option, write down the direction, minimum expected move, and time window. A chart can help form a hypothesis; it cannot remove the contract’s time limit.

Chapter 6

Time, volatility, and the Greeks

Illustrative underlying-price chart - not market data

A price move has to be large enough and early enough for a long option.



Options react to more than direction. Think of their price as a moving target shaped by the underlying’s price, remaining time, expected future movement, interest rates, dividends, and market conditions. The "Greeks" are labels for sensitivities, not guarantees.

Delta

Beginner interpretation: Roughly estimates how much the option price may change for a $1 underlying move. Important caution: It changes as price, time, and volatility change.

Theta

Beginner interpretation: Describes sensitivity to one day passing, all else equal. Important caution: Time decay is not perfectly linear and generally accelerates near expiration.

Vega

Beginner interpretation: Describes sensitivity to a one-point change in implied volatility. Important caution: Implied volatility can fall even when the underlying moves in your direction.

Gamma

Beginner interpretation: Describes how quickly delta changes as the underlying moves. Important caution: It can become more important near the strike and near expiration.

Implied volatility: the market’s price for uncertainty

Implied volatility (IV) is not a forecast that the stock will move in one direction. It is a pricing input derived from option prices. When IV is higher, options often cost more, all else equal, because the market is placing more value on the possibility of a large move.

The "right direction, wrong trade" problem

You buy a call before a widely expected event. The stock rises a little after the event, but uncertainty disappears and IV drops sharply. The option can lose value despite the stock moving higher. Direction, size of move, timing, and implied volatility all mattered.

Near expiration, small underlying moves can matter more-and time decay can matter more too.

Chapter 7

How trading and settlement work

Options are bought and sold in an account that has options approval. Your broker will define which strategies are permitted. It is wise to understand the order ticket before using real money.

Opening versus closing

Buy to open

What it does: Creates a new long-option position.

Sell to close

What it does: Closes an existing long-option position.

Sell to open

What it does: Creates a new short-option position.

Buy to close

What it does: Closes an existing short-option position.

Exercise and assignment

Exercise is the holder using the contractual right. Assignment is the writer being selected to fulfill the obligation. With standard equity options, exercise may result in a 100-share transaction per contract, subject to the contract terms. Many brokers have policies for contracts that are in the money at expiration; read those policies well before expiration day.

Do not ignore an expiring contract

Assignment, automatic exercise policies, changes after normal market hours, and insufficient buying power can create outcomes you did not intend. Decide in advance whether you will close, exercise, or allow an option to expire-and confirm your broker’s cut-off times.

Why limit orders are usually the learning default

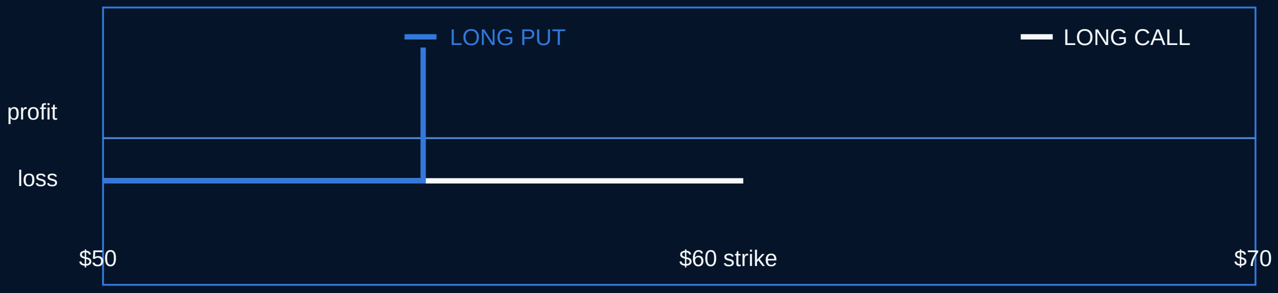
A limit order specifies the worst price you will accept: the most a buyer will pay or the least a seller will receive. It may not fill. A market order prioritizes execution but not price, which can be hazardous in thin or fast-moving options markets.

Chapter 8

Four beginner-level position types

Illustrative payoff at expiration - per share

Premiums create an initial loss; gains depend on direction and size of the move.



These are learning examples, not recommendations. They are included to show how risk changes with the position structure. Do not enter a strategy until you understand each leg and the assignment implications.

Long call

Typical thesis: Underlying may rise substantially before expiration. Maximum loss: Premium paid. Key concern: Time decay and an insufficient move.

Long put

Typical thesis: Underlying may fall substantially before expiration; may also hedge stock. Maximum loss: Premium paid. Key concern: Time decay and an insufficient decline.

Covered call

Typical thesis: Own shares and are willing to sell them at a chosen strike. Maximum loss: Stock downside remains, partly offset by premium. Key concern: Shares may be called away; upside is capped.

Long debit spread

Typical thesis: Expect a directional move but want lower entry cost and defined risk. Maximum loss: Net debit paid. Key concern: Profit is capped; involves two legs and execution complexity.

Why defined-risk structures are a sensible starting point

Long options and properly constructed debit spreads have a known maximum loss when opened. That does not mean they are likely to profit; it means the risk boundary is visible. A beginner should be cautious with undefined-risk short calls, uncovered short puts, and complex multi-leg positions until they understand margin, assignment, and position management.

A debit spread in plain English

A trader buys one call and sells a higher-strike call with the same expiration. The sale helps fund the purchase, reducing the initial debit. In exchange, gains are capped above the short strike. This is a trade-off: less cost and less upside.

Chapter 9

Build a first-trade plan-on paper

The first goal is not profit. It is to make a decision that can be evaluated afterward. Paper trading or a very small, defined-risk position can help expose gaps in your understanding without making them expensive.

A compact planning template

Thesis

What observable condition do you expect? State it in one sentence, without hype.

Contract

Underlying, call or put, strike, expiration, multiplier, and current bid-ask spread.

Risk

Maximum dollar loss including an allowance for costs. Is it within a pre-set position-size limit?

Exit plan

What would cause you to take a gain, reduce risk, or exit? What happens before expiration?

Event check

Are earnings, dividends, economic reports, or other known events near expiration?

Illustrative paper-trade plan

Thesis: ETF A may rise modestly over the next six weeks. Structure: one call debit spread, 45 days to expiration. Cost: $1.20 net debit x 100 = $120 maximum loss before fees. Management: close if the spread reaches a pre-defined fraction of its maximum value; reassess if the thesis is invalidated. This is an example of a written process-not a trade signal.

Position size is part of the strategy

A trade can have sound mechanics and still be too large for an account. Predetermine a small amount you are comfortable losing. If a normal loss would change your behavior or make you abandon the plan, the size is too large.

Chapter 10

Common mistakes-and a better practice routine

Buying the cheapest option because it seems like more leverage.

Better habit: Ask what move is required before expiration and why the option is cheap.

Focusing only on direction.

Better habit: Also evaluate time remaining, implied volatility, and spread width.

Using a market order in an illiquid chain.

Better habit: Inspect the bid-ask spread and use a limit order.

Holding automatically through expiration.

Better habit: Plan the expiration-day decision before you open the trade.

Adding size after a loss to "get even."

Better habit: Keep position sizing fixed and review the original thesis.

Starting with short, undefined-risk positions.

Better habit: Learn assignment and margin mechanics first; begin with visible loss limits.

A four-week learning loop

Week 1: Follow one liquid underlying. Record its price and watch a single expiration’s call and put chain daily.

Week 2: Track one at-the-money call and put. Note how their price changes with the underlying, time, and volatility.

Week 3: Write three paper-trade plans. Include maximum loss, break-even at expiration, and exit plan.

Week 4: Review outcomes without judging them as wins or losses. Did the trade behave as expected? What variable did you miss?

Keep a one-page journal

For every position, save your thesis, contract details, entry price, maximum loss, events, exit rule, and post-trade notes. A journal turns options from a stream of quotes into a process you can improve.

Appendix A

Quick glossary

Assignment

Notification to an option writer that they must fulfill the contract obligation.

At the money (ATM)

An option whose strike is near the current underlying price.

Bid-ask spread

The difference between the displayed bid and ask prices.

Call

An option giving the holder the right to buy the underlying at the strike.

Debit

Cash paid to enter a trade; for a long option, the premium paid.

Expiration

The final date of an option’s life under its contract terms.

Exercise

The holder uses the right granted by the option.

Implied volatility (IV)

Volatility embedded in an option’s market price.

In the money (ITM)

An option with intrinsic value.

Intrinsic value

The value an option would have if exercised immediately, ignoring costs.

Long

A position bought or owned; a long option holder has rights.

Open interest

The number of open option contracts, generally reported on a delayed basis.

Out of the money (OTM)

An option with no intrinsic value.

Premium

The option’s quoted price per unit before applying the contract multiplier.

Put

An option giving the holder the right to sell the underlying at the strike.

Strike price

The contract price for buying or selling the underlying on exercise.

Time value

The portion of premium above intrinsic value.

Underlying

The asset referenced by the option contract.

Appendix B

Knowledge check

A standard equity option is quoted at $1.65. Ignoring costs, what is the usual total premium for one 100-share contract?

What right does a put buyer hold?

A stock trades at $40. Is a $45 call in, at, or out of the money?

Why can a long call lose money even if the underlying rises?

What is the main benefit of a limit order compared with a market order?

What two components broadly make up an option premium?

What should you decide before holding a contract into expiration?

Is implied volatility a directional forecast? Explain briefly.

Answers

$165: $1.65 x 100.

The right to sell the underlying at the strike price.

Out of the money, because the stock is below the call’s $45 strike.

The move may be too small or too late; time decay and a decline in implied volatility can also reduce the option’s value.

It puts a price boundary on the order, although it may not be filled.

Intrinsic value and time value.

Whether to close, exercise, or let it expire, after checking broker rules and possible obligations.

No. It is a pricing input inferred from option prices and reflects the market’s valuation of uncertainty, not an up-or-down prediction.

The essential takeaway: An options trade is a specific contract with a specific time limit. Read the whole contract, define your loss before entry, respect liquidity and expiration, and practice small.

This ebook is a general educational overview. Options involve risk and are not suitable for every investor. Consult qualified professionals and your broker’s official disclosures before trading.